Household Finance Review – Q4 2024

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This review explores trends in consumers' financial behaviour through the final quarter of 2024.

Rising real wages and gradually falling interest rates have brought improvements in households' financial position. Here we look in more detail at their spending, saving and borrowing behaviours as the year closed out.

Q4 2024 Highlights

Households' confidence as to the path of the economy was weak, but with a more positive view of their own situations. Consumer spending is beginning to grow again as cost-of-living pressures recede, with increased activity in household and entertainment sectors.

The mortgage market bounced back in 2024, following the significant contraction seen in 2023. The recovery in lending continued through Q4, and forward-looking data suggest this will persist through Q1 2025.

Purchase markets all across the UK saw growth, but were somewhat stronger in the South, despite more acute affordability pressures there.

Mortgage regulations introduced over the past decade have increased the barriers to mortgage credit for some households more than others. Would-be buyers in London, where affordability is tightest, appear to have been disproportionately affected. The FCA's stated intention to simplify its lending rules could potentially offer some relief for households most impacted.

Remortgaging remained subdued in Q4, but higher volumes of expiring fixed rate deals will drive a stronger market in 2025. Easing affordability is beginning to drive more external remortgaging, but internal Product Transfers are still by far the most popular refinancing option.

Household savings, critical for customer resilience and a key source of deposits for onward lending for deposit takers, continue to build, whilst overdraft debt and other unsecured lending data remain stable. Q4 figures confirm that mortgage arrears are now on a downward path as cost and rate pressures gradually fall.

Possessions rose in Q4, as anticipated, as the industry and courts work to clear the backlog of mostly older arrears cases that predate the current rate and cost pressures. However, numbers are very low by historic comparisons and will remain so even after expected increases through 2025.

UK economic context and outlook

Following a strong start to 2024 for the UK economy, growth started to stutter mid-year. Data from ONS indicated no growth in the third quarter and with fragile consumer and business confidence, as well as faltering international demand towards the end of last year, economists were expecting a further quarter of flat-lining economic activity in the final months of 2024.

The first cut of GDP data provided a modest upside surprise, with growth estimated at 0.1 per cent in the three months to December 2024 (against Bank of England expectations of a 0.1 per cent contraction). Monthly GDP growth in November and December marked the first consecutive months of growth since March 2024. For 2024 as a whole the economy grew by 0.9 per cent, putting the UK mid-table in the G7 growth league.

Looking at the detail of the GDP release, household spending was flat over the quarter, consistent with cautious consumer sentiment seen in recent survey data. However, they did throw off some of this caution at the end of the year, with activity in hospitality seeing a boost in December.

A key driver of growth in the final months of 2024 was a jump in inventories as businesses boosted stocks of materials. This is a volatile component of GDP and says little about the underlying strength of activity. The off-setting weakness in net trade and business investment, as well as flat household spending, point to little momentum as we head into 2025.

This sluggishness in activity, as well as deteriorating confidence following the October Budget (which we discussed last time), stalled eurozone growth and weaker-than-previously thought productivity in the UK, contributed to a material downgrade to the Bank of England 2025 growth projections. It cut its forecast for expected growth from 1.5 per cent in the November Monetary Policy Report (MPR) to 0.75 per cent in February. This is a somewhat gloomier view than the current consensus (around 1.0 per cent according to HM Treasury comparison of independent forecasts).

There are some potential upsides ahead. There will be a near term boost to growth from the higher government spending announced in October. There has also been significant progress on disinflation, albeit with a few monthly bumps along the way. Real earnings growth, which has been positive for the past year and a half, remains firm. Wages have now caught up with the inflation shock of recent years, and the effects of lower interest rates should mean households start to feel in better financial shape as the year progresses.

While recruitment has slowed, unemployment is low by historic standards and a stable labour market – as most economists expect – should also support an improvement in consumer confidence and spending. However, the hiring response of firms to the forthcoming national insurance increase is something of a risk here.

Given this backdrop and outlook, the Monetary Policy Committee voted unanimously to cut Bank Rate by a further 25 basis points at its February meeting. Domestic inflationary pressures easing and a looser labour market argue for a slightly less restrictive monetary policy stance, even as the effects of previous rate cuts continue feed through.

The MPC does expect some pick-up in inflation later this year, primarily due to higher energy prices, but does not expect the same risks of second round effects as we saw through 2023 and 2024. Messaging around future rate cuts remains consistent to that following previous rate cuts – policy would remain restrictive until MPC members were satisfied that inflation would return sustainably to the two per cent target and decisions would be taken meeting by meeting.

One of the new risks for the MPC (and other central banks) to factor in is US trade policy development, including the introduction of tariffs. There were no firm announcements from President Trump as the Bank of England concluded its February forecast and the policy of who and what is in scope for tariffs on US imports remains fluid. Should tariffs land and result in retaliatory action, there will be a negative impact on global growth as well as increasing the risk of greater inflation persistence.

Trade friction and ongoing geopolitical tensions could continue to cast a cloud over business and consumer sentiment. The Chancellor will also deliver a spring statement at the end of March, which will provide a forecast update from the Office for Budget Responsibility. Should any revisions to the economic and fiscal outlook require further action from the Chancellor to meet her fiscal rules, this could add another layer of uncertainty.

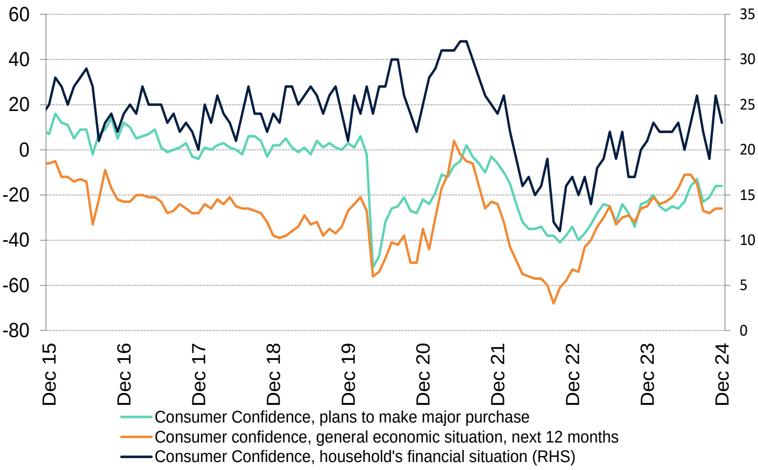
While the potential for more economic wobbles may have picked up since the start of the year, the base case of steady and subdued growth, wages rising at a slightly more moderate pace and a limited rise in unemployment seems a likely outturn for 2025.

Household sentiment improving despite doubts about the economy

As 2024 drew to a close, consumer confidence was something of a mixed bag.

Households' sentiment as to state of the wider economy dipped, in contrast to the improving readings seen in most months since the low in Autumn 2022 (***Chart 1***).

Chart 1: Consumer confidence



Source: **GfK**

It is not clear what is driving this, but factors could include uncertainty about global tensions and their potential impact on the UK. With the government's spending and tax changes yet to take full effect, households may also be hedging their bets as to the overall impact these will have on the wider economy.

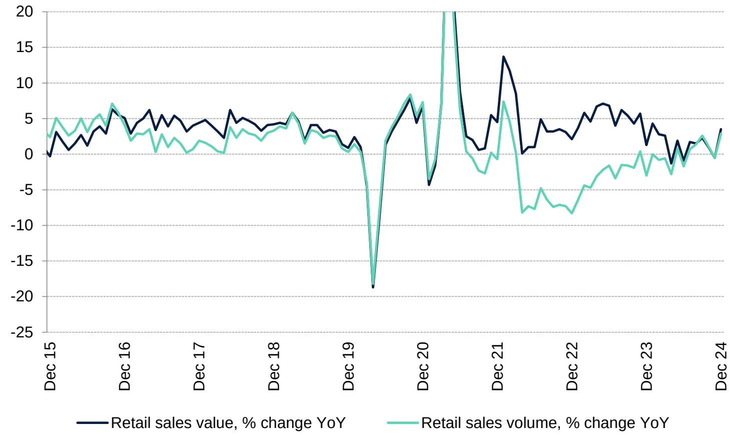
However, consumers' confidence about their own financial situation has been on a generally improving, if erratic, trend through the year, continuing through Q4.

Potentially aligned to this positive sentiment, households' intentions to make major purchases has risen, although this remains negative overall, and significantly weaker than average levels seen before the pandemic and the cost-of-living crisis.

With the most recent official forecasts on inflation, the labour market and economic growth somewhat more downbeat in tone than a few months ago, consumer confidence is likely to remain fragile in the short term.

Spending patterns reflect a gradual improvement in disposable income

Chart 2: Retail sales, annual percentage change



Source: ONS

In the fourth quarter of 2024 consumer spending on goods saw annual growth (in the number of purchases), for the first time since the middle of 2021 (***Chart 2***).

Within the total, spending on household goods - which had been falling since the start of 2023 - also increased. This is potentially aligned to the strength in the mortgage and housing markets, which we will turn to later, as consumers moving house make related purchases, including on furniture and decoration.

Separate UK Finance data on card spending supports this, showing a recovery in activity in the household sector, in particular DIY and furniture stores.

Another feature that emerged through the cost-of-living crisis was increased spending in second-hand stores, as households looked for cheaper options where they could. Although purchase activity in these stores remains up compared with a year ago, the rate of growth has dropped off sharply.

In contrast, a number of segments within the entertainment sector saw a recovery late in 2024. As households' disposable income began to recover, their spending in concert venues, pubs and cinemas, which had seen significant contraction through the cost-of-living crisis, returned to modest annual growth.

Mortgage market beat expectations in 2024

Through 2023, higher interest rates and cost-of-living pressures drove a sharp contraction in the mortgage market. With these constraints expected to ease only gradually, most forecasts for 2024 saw a further contraction or, at best, a flat market. In fact, the outturn last year was considerably better than predicted.

Cuts in mortgage offer rates, seen through much of the year, provided a boost to demand. Numbers of first-time buyers (FTBs) and movers rose, by 16.4 per cent and 14.7 per cent respectively. Following the significant contractions seen in 2023, however, activity was still well below the stable levels seen in 2022 (***Table 1)***.

Table 1: Key annual mortgage figures

	2019	2020	2021	2022	2023	2024	Annual change
Number of residential purchase loans:							
First-time buyers	351,000	304,000	405,000	370,000	287,000	334,000	16.4%
Homemovers	344,000	310,000	444,000	339,000	251,000	288,000	14.7%
Total	695,000	614,000	849,000	709,000	538,000	622,000	15.6%
Number of residential refinances							
Residential - external remortgage	446,500	352,500	321,900	382,300	311,300	284,000	-8.8%
Residential Product Transfers	1,203,200	1,169,100	1,248,100	1,274,200	1,489,400	1,355,100	-9.0%
Total	1,649,700	1,521,600	1,570,000	1,656,500	1,800,700	1,639,100	-9.0%
House Prices (UK average, Q4)	215,925	229,819	253,113	265,195	259,157	268,518	3.6%
Gross mortgage lending (£ million)	269,006	245,716	308,058	313,176	225,538	242,025	7.3%
Mortgages in arrear (end of year)	80,570	89,310	85,660	81,240	107,260	104,780	-2.3%
Mortgage possessions	8,000	2,620	2,270	4,620	4,810	6,440	33.9%

Source: UK Finance, Nationwide BS, Bank of England

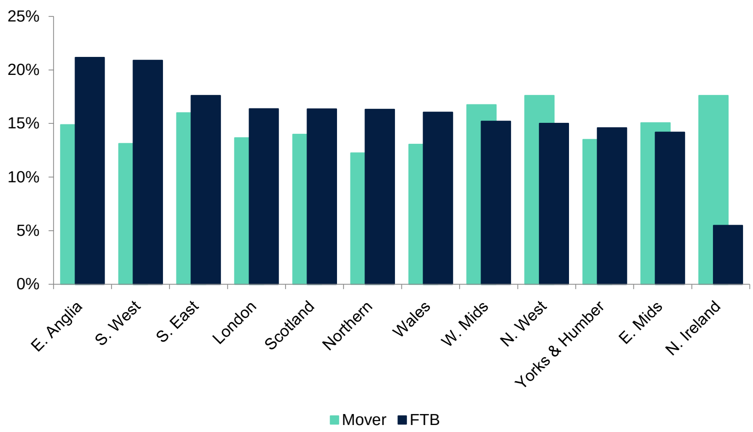
Remortgage activity was relatively subdued, due in large part to somewhat lower numbers of fixed rate deals coming to an end through the year. Refinancing overall fell by nine per cent, with the contraction seen evenly across both external remortgaging and internal Product Transfer (PT) deals.

Meanwhile falling Bank Rate, as well as easing cost-of-living pressures, also brought good news for struggling customers, with arrears peaking early in the year before falling back slightly through the second half of 2024.

Broad-based recovery in lending across most regions, but the South was somewhat stronger

The recovery in purchase borrowing in 2024 was widespread, with all regions and nations seeing annual growth. Whilst all geographies saw double-digit growth in house purchase overall, FTB numbers were significantly weaker in Northern Ireland, although that was offset to an extent by particularly strong growth in home movers (***Chart 3***).

Chart 3: New house purchase loans, 2024 annual percentage change



Source: UK Finance

In most regions, however, the recovery in FTB activity was stronger than amongst home movers, and particularly so in London and the southern English regions. This may appear counterintuitive, as affordability pressures are far more acute in the South.

This may be linked to an observation made in previous Reviews, that at least part of the contraction in lending in 2023 was from "won't buys". That is, those who were unwilling to buy when interests rates were higher, rather than "can't buys" who were locked out of the market due to affordability constraints.

Overall, as affordability pressures have continued to ratchet up over the past decade, we have seen some divergence in the profile of borrowing activity between the comparatively more affluent, but more affordability-pressured South, and the rest of the country.

Mortgage regulation looks to have impacted London disproportionately

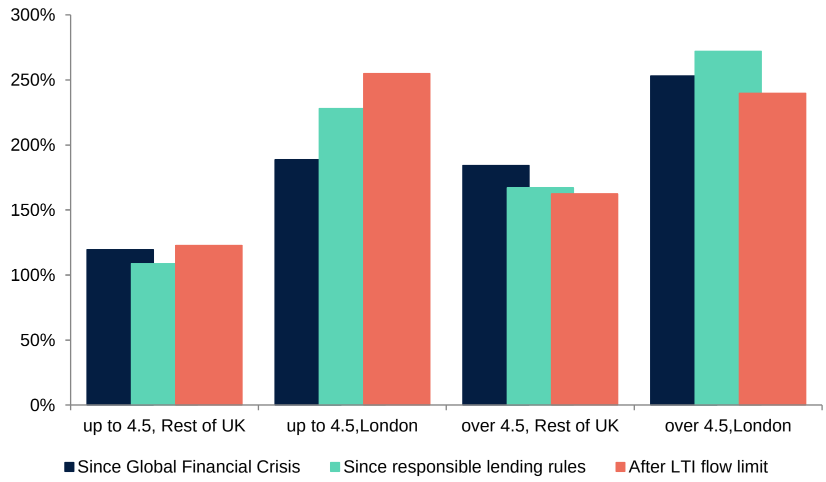
Both the Financial Conduct Authority (FCA) and the Bank of England's Financial Policy Committee (FPC) have mortgage lending rules, which impact the overall lending market. Since these rules came into force, alongside tightened affordability more broadly, we have seen some changes in relation to FTBs in the level of deposit required, particularly in and around London.

The FCA's responsible lending rules, which came into effect in 2014, do not prevent high loan-to-income (LTI) lending but do indirectly act as a constraint. The FPC's 2017 requirement that a lender may not grant more than 15 per cent of its new mortgages at over 4.5 times income, directly limits the number of borrowers able to access mortgage credit at higher LTIs.

Due to the much higher house prices, a significant amount of lending in the capital is at higher LTI multiples. This has always been the case and currently around 30 per cent of all lending at an LTI ratio of more than 4.5 takes place in London.

What is notable is that since the FCA rules came into effect, and more so since the introduction of the FPC's flow limit, those borrowing ***below*** the 4.5 times income threshold are having to put down much larger deposits than before.

Chart 4: Deposit-income ratio, new FTB loans



Source: UK Finance

With lenders no longer able to extend the same volume of loans at higher LTIs, more FTBs in London are restricted to borrowing less than 4.5 times income. As a result, they are now needing to put down deposits in excess of 2.5 times their annual household income in order to make up the difference from the lower loan size available. Previously, FTBs in London were putting down a deposit of around 1.9 times their annual household income (***Chart 4***).

FTBs in London have, for many years, needed to rely heavily on the Bank of Mum and Dad, or other sources outside of savings from regular income, to raise the significant deposits required to access mortgage credit.

It appears however that the layering of regulation, combined with house prices outstripping wage growth, has really raised the bar for those seeking to buy in the capital. The result is that for many without both well above average income and a means of raising a very substantial deposit, homeownership may now be even further out of reach.

In contrast, the typical deposit-income ratio for those outside the capital, where typical LTIs are lower (and so fewer need to borrow above the 4.5 times income threshold) did not change materially after either the FCA or FPC regulations came into force.

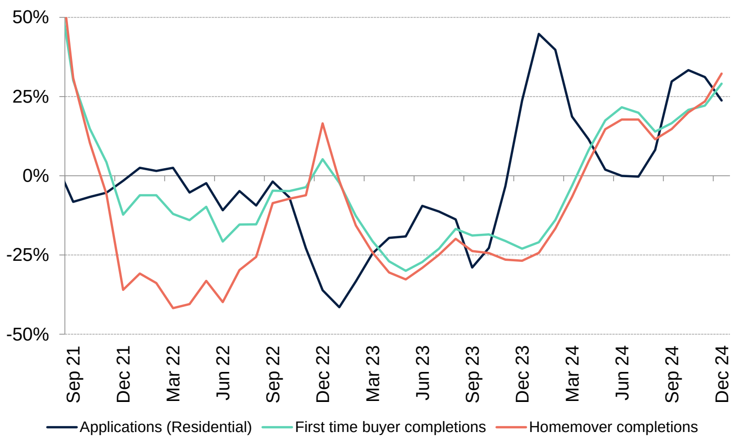
Continued strong growth in mortgage lending in Q4

Following the significant contraction in 2023, mortgage lending volumes started to recover from the start of 2024, returning to annual growth territory by the spring.

Despite a slightly weaker Q3, growth continued through the second half of the year and accelerated further in Q4, with both FTB and home mover numbers almost a third up compared to those seen in the fourth quarter of 2023 (***Chart 5***).

Some of this growth is likely to be driven by borrowers looking to complete before the changes to Stamp Duty thresholds, which take effect on 1 April 2025.

Chart 5: Mortgage applications and completions, 3-month moving average, year-on year change



Source: UK Finance

Despite this continuing healthy double-digit growth, numbers are still not quite back to the broadly cycle-average levels seen in 2022, following the significant contraction seen through 2023.

Although application volumes moderated a little as the year drew to a close, they were still up around 25 per cent on those seen at the end of 2023, pointing to continued growth in completions in the first quarter of 2025.

Whilst improved affordability supported lending growth through 2024, it is inching back towards the very pressured levels which drove the sharp contraction in 2023. For now, however, demand remains relatively strong. We expect purchase lending volumes to continue to grow through the year, albeit at a slower rate than that seen last year.

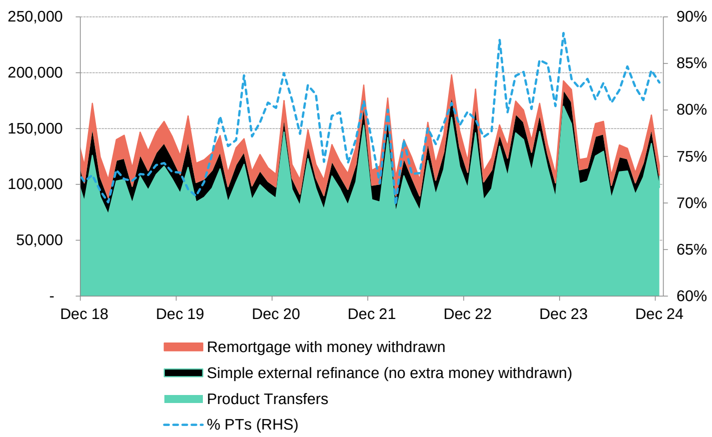
Consumer spending and borrowing: Summary

Cost and rate pressures continued to ease in the fourth quarter of 2024, supporting further recovery in lending for house purchase. With households seeing an improvement in their disposable income, spending on non-essentials such as entertainment saw modest growth, as did those areas of spending associated with moving into a new home.

Refinancing subdued, but a stronger market expected in 2025

Whilst house purchase activity saw strong growth through the fourth quarter of 2024, refinancing activity continued to contract. There were some 411,000 refinancing deals in Q4, around six per cent lower than a year before (***Chart 6***).

Chart 6: Number of mortgage refinancing transactions



Source: UK Finance

As we observed previously this lower activity is, in large part, due to somewhat lower volumes of fixed rate deals coming to an end last year. Within the total, however, we are starting to see a modest shift away from PTs in favour of external remortgaging.

This follows a period through 2023 when, amidst rapidly rising rates, affordability had limited the options for those looking to refinance on the open market, leading to more choosing an internal PT deal, where an affordability test is not required.

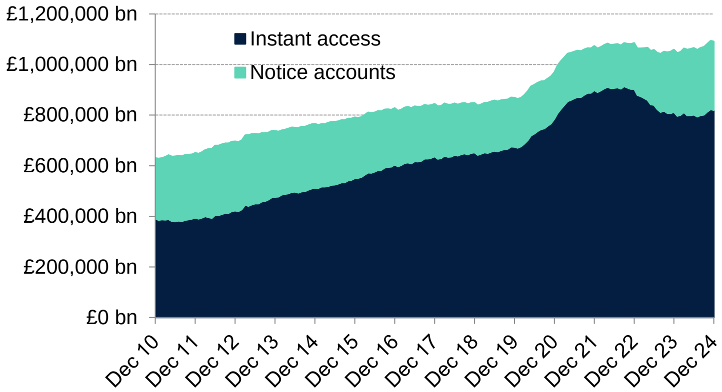
As new lending rates fell through 2024, improving affordability drove a small shift back towards external remortgage business. PTs remain by far the most popular choice, however, with competitive rates and the ease of transaction powerful incentives for mortgage customers to remain with their existing lender.

In 2025, around 1.8 million fixed rates are set to expire, compared with 1.4 million in 2024. This will drive stronger refinancing numbers, with the continuing downward drift in interest rates likely to result in a further gradual shift towards external remortgaging.

Households continuing to build up longer term savings

Through the cost-of-living crisis, the extent to which households drew down on savings to cover increased costs was limited.

Chart 7: Personal account deposit levels



Source: UK Finance

At the aggregate level, household deposits fell by about £40 billion, (four per cent) from the end of 2022 through to the beginning of 2024. Since then, however, savings levels have seen steady growth and, by November 2024, had risen past the previous peak (***Chart 7***). It is worth noting, however, that after adjusting for inflation the real-terms value of household deposits has barely changed since 2016, barring the build-up and subsequent decumulation through the pandemic years.

Whilst overall deposit levels fell through 2023, this contraction was concentrated almost entirely in instant access accounts. In contrast, deposits in notice accounts, which before that had seen almost continuous contraction for nearly a decade, began to grow as higher Bank Rate drove an increase in the rates of return available in the savings market.

Through 2024 we then saw growth in both notice and instant access accounts but, despite Bank Rate cuts pushing savings rates down somewhat, the bulk of growth continued to be in notice accounts.

By the end of 2024, some 25 per cent of all household deposits were held in notice accounts, compared with 16 per cent as recently as November 2022.

In addition to increasing their savings, including cash ISAs, a sizeable amount of spare household income is invested in stocks and shares ISAs. According to **latest published data** there were some 3.8 million stocks and shares ISAs subscribed to in the tax year 2022/23. This is only around half of the number of cash ISAs subscribed to, but the average amount placed in these investments was somewhat larger - £7,355 compared with £5,296 in a cash ISA. In value terms, ISA subscriptions totalled £69.6 billion (£41.6 billion in cash and £28 billion in stocks and shares).

Linked to this is a difference in the income profile of account holders, with stocks and shares ISAs held more by individuals in higher income deciles. This is likely associated with the risk associated with stocks and shares, when compared with the risk-free cash ISA option, as those with higher incomes will generally have a greater capacity to absorb any loss, should the portfolio depreciate in value.

The numbers and amounts invested in stocks and shares ISAs are subject to fluctuations from year to year and saw something of a drop of in 2022/23, possibly linked to the rise in savings rates over that period making cash ISAs and other savings relatively more attractive. Notwithstanding this, stocks and shares ISA accounts' valuations have increased over time, both in absolute terms and as a proportion of total ISA holdings, and are becoming an increasingly significant element of household wealth.

Household refinancing and savings: Summary

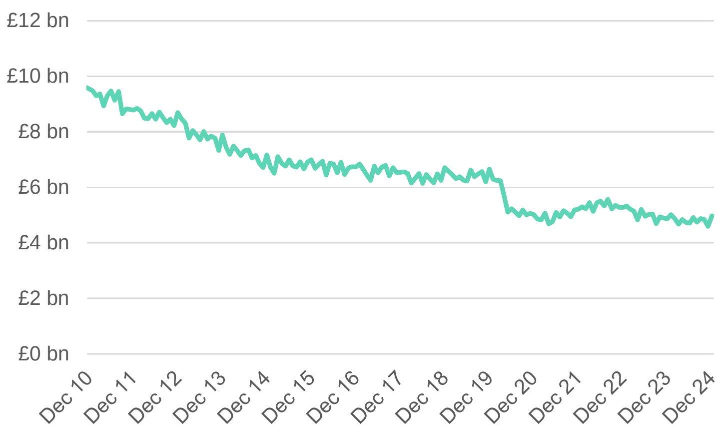
Through the final quarter of 2024, household deposits continued to rise and, despite Bank Rate cuts driving down market savings rates, the growth continues to be largely in notice accounts. One quarter of households' deposits are now held in these notice accounts, where their savings still receive positive real rates of return.

Overdraft levels flat throughout 2024

Whilst savings levels built up through 2024, overdraft debt was essentially static (***Chart 8***).

Overdrafts remain a useful tool for consumers, in particular to manage very short-term gaps between regular outgoings and income. However, a number of factors, not least the increasing take-up of credit cards and other consumer credit products, for example Buy-Now, Pay Later (BNPL), have contributed to a long-term decline in the usage of overdrafts in the household sector.

Chart 8: Household sector overdraft debt outstanding at end of period



Source: UK Finance

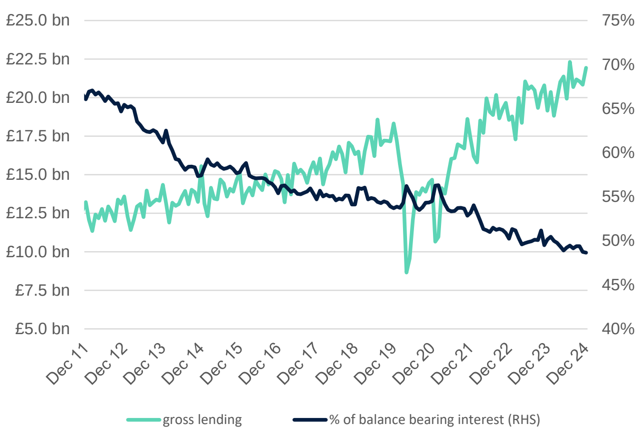
Barring a short period of growth following the widespread paying down of debt through the pandemic, overdraft debt has fallen each year since the end of the Global Financial Crisis (GFC) in 2010.

In nominal terms, overdraft balances at the end of 2024 were less than half the peak level seen in 2007 and, in fact, only just above the levels seen in 1997, when our overdraft data begins. When we adjust for the rise in price levels since that point, overdraft debt is less than two thirds of the real-terms amount seen in 1997 and under one third of the nominal peak level in 2007.

Growth in card debt stable

Although overdraft debt has been essentially flat, borrowing on cards has continued to grow in line with long term trends through 2024 (***Chart 9***).

Chart 9: Credit card lending and interest-bearing balances



Source: UK Finance

Over time, use of credit cards has become increasingly commonplace as a means of payment, growing in line with both wider card acceptance amongst retailers and increasing adoption by consumers. As observed in our most recent Payment Markets Report, purchase volumes via cards grew by 11 per cent in 2023, a faster rate than the wider payments market.

As usage has grown, however, we continue to see a falling proportion of total card debt that is interest bearing, with just under half of all balances currently attracting interest charges. By way of comparison, in 2011 over two thirds of card debt was interest-bearing.

Overall, consumers are increasingly using credit cards, but as a convenient means of payment, paying off the balance in full each month, with proportionally fewer using credit card debt as a means of borrowing over a longer term than the monthly payment cycle. However, we do not have visibility of data on borrowing or repayments on other unsecured products, including BNPL, and so the full picture of consumer credit may differ from that for cards and overdrafts.

Mortgage arrears fell again Q4, confirming a downward trend

In 2023 rising interest rates and cost-of-living pressures took an inevitable toll on mortgage customers, particularly those on variable rates, and we saw the number of customers in arrears increase through the year.

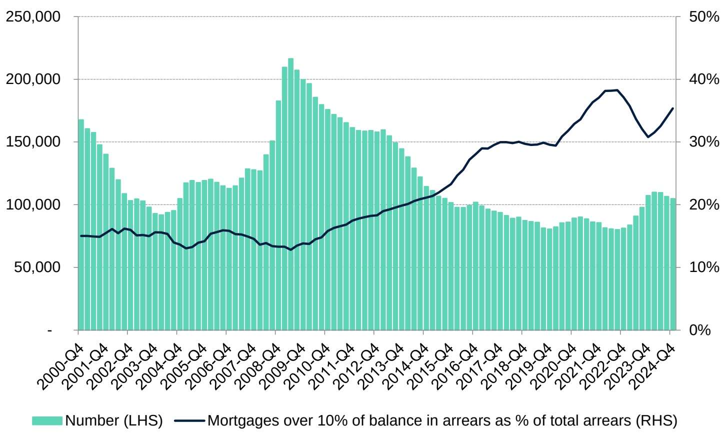
Whilst the cumulative increases, totalling 32 per cent, brought the total to 107,260 by the end of the year, this remained very low by historic comparisons. Nonetheless, with Bank Rate expected to fall only gradually through 2024 and beyond, and cost-of-living pressures also receding but still very much present, the expectation at that point was for further pressure on payments through the year.

In fact, this did not come to pass. After rising only marginally through the first two quarters, total arrears fell in Q3. This more than reversed the very modest increases seen in the first half of the year, with indications within the data that the numbers would show a further fall as the year drew to a close.

This was confirmed in our Q4 figures, with total arrears falling by two per cent to 104,780 cases (***Chart 10***). A fall in early arrears cases, below the 2.5 per cent threshold for our headline measure, indicates that Q1 will see a further contraction in total arrears.

There is now firmer evidence that the peak in what looks to have been a relatively short upwards cycle in arrears has passed, and numbers are on a confirmed downward trend.

Chart 10: First charge mortgages in arrears[1]



Source: UK Finance

Notes: 1. Arrears measured as those representing more than 2.5 per cent of outstanding mortgage balance

As we observed in our Q3 Review, the remarkable resilience of the mortgage customer base in the face of considerable cost and rate pressures owes much to the strong lending standards in place for the past decade. In particular, the interest rate stress test has ensured that all new loans granted have an affordability buffer in the face of higher interest rates, or indeed other pressure on a customers' income or expenditure.

This has meant that customers on variable rates, as well as those coming off of historically cheap fixed rate deals and looking to remortgage in a materially higher rate environment, have been able to absorb these increased mortgage payments within their household budgets. And, whilst arrears did rise, these increases were heavily concentrated in that small proportion of the overall mortgage customer base whose loans were originated before current lending standards came into force.

Tighter lending standards have de-risked the market but, at the same time, constrained access to mortgage credit for some households, as we have set out in previous sections. However, it is not possible to remove all risk from lending.

As with any credit commitment, ability to pay is contingent on a continuing income stream. For most residential mortgages, this income is from employment. In all academic and industry studies, unemployment is found to be the most significant driver of arrears, along with adverse life events such as bereavement and divorce. The continuing very low unemployment numbers have, therefore, been a second significant factor limiting the extent of recent arrears, and one which is unrelated to underwriting standards.

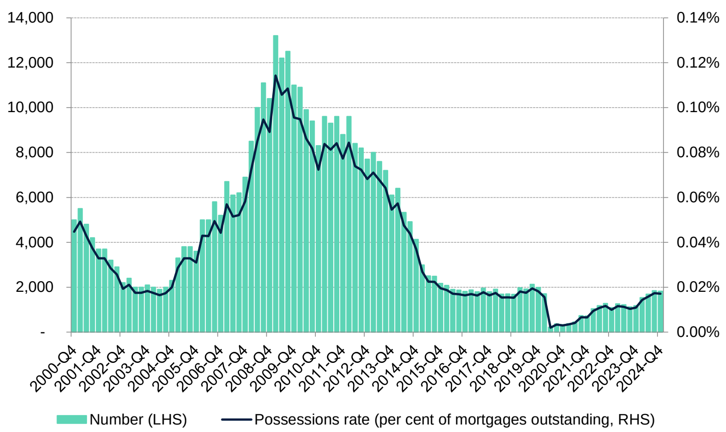
As we have observed above, official forecasts now see a moderately weaker labour market as the year progresses, and this represents a risk to our expected gradual downward path of arrears through the year.

Possessions rose in Q4, relating to older arrears cases

Whilst arrears are now on a downward path as cost and rate pressures ease, current mortgage possessions are driven by different factors. For now, their paths have diverged.

There were 1,720 mortgage possessions in the fourth quarter of 2024 (***Chart 11***). Although this is 42 per cent higher than the number seen in the same quarter of 2023, it represents an increase from a very low base and so even small rises appear large in percentage terms.

Chart 11: Mortgage possessions in period



Source: UK Finance

The 6,440 possessions taken through 2024 was 20 per cent lower than the average seen in the five years before 2020 and 87 per cent below the previous peak seen in 2009, in line with UK Finance forecasts.

As we have set out in previous Reviews, most cases currently going through the possession process now relate to much older mortgages, which have typically been in arrears for some years. Therefore, the falling number of arrears does not, at this stage, translate to a fall in possessions cases, as these customers' difficulties largely pre-date the rate and cost pressures which caused the increase in arrears seen through 2023.

When possession becomes the only viable exit route for a customer in arrears, it is important that this happens efficiently in order to prevent unnecessary further build-up of arrears, and return the greatest possible remaining equity to the customer upon sale of the property.

We expect possessions to continue to rise modestly through 2025, as this cohort of unrecoverable arrears cases are helped to exit their debt as efficiently as possible. However, the forecast 7,000 cases would still be very low when compared with all previous cycles.

Household debt: Summary

Through the final quarter of 2024, all indicators pointed to stability in unsecured borrowing performance and a gradual decline in the number of customers facing mortgage payment difficulties. At the aggregate level, the household sector looks to have navigated the considerable cost and rate pressures seen since the end of 2021 with only very limited impact on meeting their credit commitments.

Although there is a risk that a weakening labour market could derail this, the outlook is for further improvement as these pressures continue to recede through 2025.

Whilst possessions continued to rise, numbers remained very low and relate almost entirely to older mortgages which have been in difficulty for some years and now need to exit their debt as efficiently as possible. As we move through this year, we expect further modest increases, but overall possessions activity will remain far lower than that seen in previous decades.